

Kotak Mahindra Bank Ltd., India, NSE:KTKM, D

MA (4, close, 0)
MA (9, close, 0)
MA (18, close, 0)
MA (50, close, 0)



This is typically how moving average convergence and divergences work. We see that during the sideways movement, all the different moving averages come together i.e. they converge. On spotting this, we will closely monitor the asset price and when the shorter-term averages started to move away, we could see that as a divergence. In this case, the divergence was towards the lower side, so it created a sell or short signal for us. This is the systematic way of the functionality of convergences and divergences.